ShaikSure Private Car Package Policy - Policy Wording

ShaikSure Motor Insurance is a fictional company. This document was created for a portfolio project and is not a real insurance policy.

Section 1 - Definitions

1.1 **Insured** means the person named in the policy schedule as the policyholder.

1.2 **Insured Vehicle** means the private car described in the policy schedule by its registration number.

1.3 **Insured Declared Value (IDV)** is the current market value of the insured vehicle fixed at the start of the policy. IDV is the maximum amount payable for total loss or total theft.

1.4 **Deductible** is the amount the insured must bear for each claim. It is subtracted from the assessed loss.

1.5 **Policy Period** is the period shown in the schedule. A loss is covered only if it happens on or between the start date and the end date.

1.6 **Surveyor** is a licensed person appointed by ShaikSure to inspect the damage and assess the loss.

Section 2 - Scope of Cover

2.1 **Own Damage (Comprehensive policies only).** ShaikSure will pay for loss of or damage to the insured vehicle caused by: (a) accidental external means, including collision and overturning; (b) fire, explosion, self-ignition or lightning; (c) burglary, housebreaking or theft; (d) riot, strike or malicious act; (e) flood, storm, cyclone, hurricane, inundation or hailstorm; (f) earthquake and landslide.

2.2 **Third Party Liability (all policies).** ShaikSure will pay amounts the insured is legally liable to pay for death or injury of any person and for damage to third-party property caused by the use of the insured vehicle.

2.3 **Third Party Only policies** do not cover any loss of or damage to the insured vehicle itself. Own damage claims under a Third Party Only policy are not payable.

Section 3 - Limits and Deductibles by Claim Type

3.1 **Collision and accidental damage.** Maximum payout Rs 3,00,000 per claim, subject to the IDV. Compulsory deductible Rs 2,000 per claim.

3.2 **Theft.** Total theft is paid at the IDV, up to a maximum of Rs 5,00,000, after the vehicle is declared non-traceable by the police. Theft of parts or accessories (partial theft) is paid at the depreciated value of the stolen parts. No deductible applies to theft claims.

3.3 **Flood, storm and inundation.** Maximum payout Rs 2,50,000 per claim. Deductible Rs 5,000 per claim. Damage to the engine or gearbox caused by water entering the engine (hydrostatic lock) is covered only if the Engine Protect add-on is active (see Section 9.2); otherwise it is excluded under Section 7.5.

3.4 **Fire, explosion and self-ignition.** Maximum payout Rs 4,00,000 per claim. Deductible Rs 2,000 per claim.

3.5 **Riot, strike and malicious damage (vandalism).** Maximum payout Rs 1,00,000 per claim. Deductible Rs 2,000 per claim. A police complaint is required (see Section 8.3).

3.6 **Glass-only damage.** Where only the windshield, rear windshield, window or sunroof glass is damaged and no other part, the maximum payout is Rs 30,000 per claim. No deductible applies and no depreciation is applied to glass.

Section 4 - Depreciation on Parts

4.1 For partial losses, depreciation is deducted from the cost of replaced parts: rubber, nylon and plastic parts 50%; fibreglass parts 30%; glass parts nil.

4.2 Metal parts are depreciated by vehicle age: up to 6 months nil; 6 months to 1 year 5%; 1 to 2 years 10%; 2 to 3 years 15%; 3 to 4 years 25%; 4 to 5 years 35%; above 5 years 40%.

4.3 Depreciation does not apply if the Zero Depreciation add-on is active (see Section 9.1).

Section 5 - How the Claim Amount is Calculated

5.1 Payable amount = assessed repair cost - depreciation (Section 4) - deductible (Section 3).

5.2 The payable amount cannot exceed the maximum payout for that claim type in Section 3, and can never exceed the IDV.

5.3 Where the repair cost exceeds 75% of the IDV, the vehicle is treated as a total loss and settled on IDV basis.

Section 6 - No Claim Bonus

6.1 A No Claim Bonus (NCB) discount on the own damage premium is given at renewal for each claim-free year, from 20% up to 50%.

6.2 Any own damage claim paid during the policy period resets the NCB to zero at renewal.